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1. Between two countries, the worth of one currency in terms of the other is known as:

Options:

- Interest rate
- Exchange rate

Correct option: Exchange rate

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2. "Index-linking" is very common in:

Options:

- Latin America
- USA
- South Asia

Correct option: Latin America

3. Which of the following will cause a rightward shift in the Philips curve?

Options:

- An increase in the expected inflation rate

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- A decrease in the natural rate of unemployment

- A decrease in the expected inflation rate

Correct option: A decrease in the expected inflation rate

4. An exchange rate that varies according to the supply and demand for the currency in the foreign exchange market is called a(n) _____ exchange rate.

Options:

- Overvalued

- Fixed

- Undervalued

- Flexible

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Correct option: Flexible

5. In case of adaptive expectations, the time period is:

Options:

- t-1

- t+1

- t/1

- t-1

Correct option: t-1

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6. When too much money chases too few goods, the resulting inflation is called:

Options:

- Stagflation
- Cost Push Inflation
- Deflation

Correct option: Cost Push Inflation

7. The capital account is related to:

Options:

- Goods market
- Import of services
- Exports of services
- Asset market

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Correct option: Asset market

8. What is determined based on a nation's import and export of goods, services, financial transfers, and financial capital?

Options:

- Lack of Goods
- Inflation
- Deflation
- Balance of Payments

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Correct option: Balance of Payments

9. If the foreign interest rate is 6% and the expected depreciation is 10%, which statement is true?

Options:

- 10%
- 15%
- 4%
- 16%

Correct option: Expected depreciation: 10%

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10. Government-driven actual inflation in period t as expected in period t-1, and then agents erroneously spend more than they should because:

Options:

- Agents view the increase as nominal rather than real
- Agents view the decrease as real rather than nominal
- Agents view the increase as real rather than nominal
- Agents view the decrease as nominal rather than real

Correct option: Agents view the increase as nominal rather than real

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